

E-COMMERCE CUSTOMER BEHAVIOR

Strategic Analysis Report

Problems • Opportunities • Recommendations

April 2026 | Okesola Aishat Aduke

Project Overview

This project analyses customer behaviour within an e-commerce business using data from 350 customers across six major U.S. cities: San Francisco, New York, Los Angeles, Chicago, Miami, and Houston. The goal is to understand how customers interact with the business, identify key issues affecting revenue and satisfaction, and uncover opportunities to improve performance.

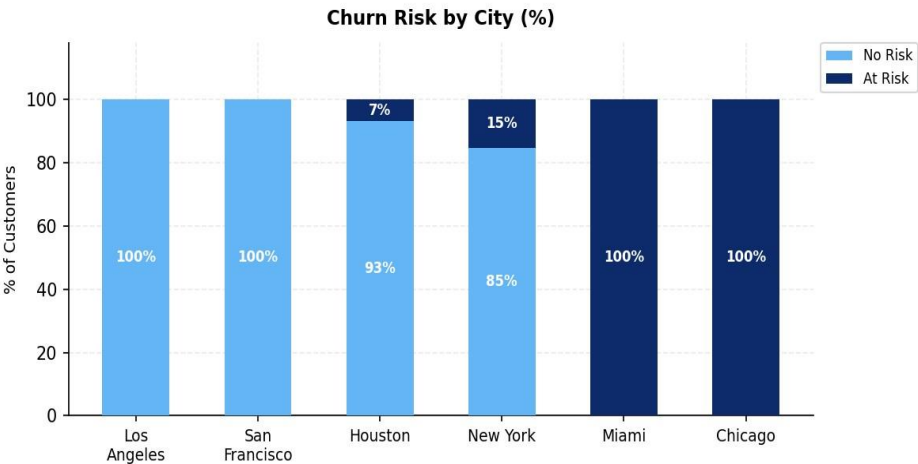
The analysis focuses on important factors such as customer spending patterns, membership tiers (Bronze, Silver, Gold), satisfaction levels, churn risk, demographics (age and gender), and geographic performance. By examining these areas, the project highlights where the business is losing value and where it can grow without needing to acquire new customers yet.

\$295,884 Total Revenue	35.7% Satisfied Customers	33.1% Unsatisfied Customers	36.9% Customers At Churn Risk
68% Revenue from Top 3 Cities	\$1,311 Avg Gold Member Spend	\$473 Avg Bronze Member Spend	100% Chicago & Miami Churn Risk

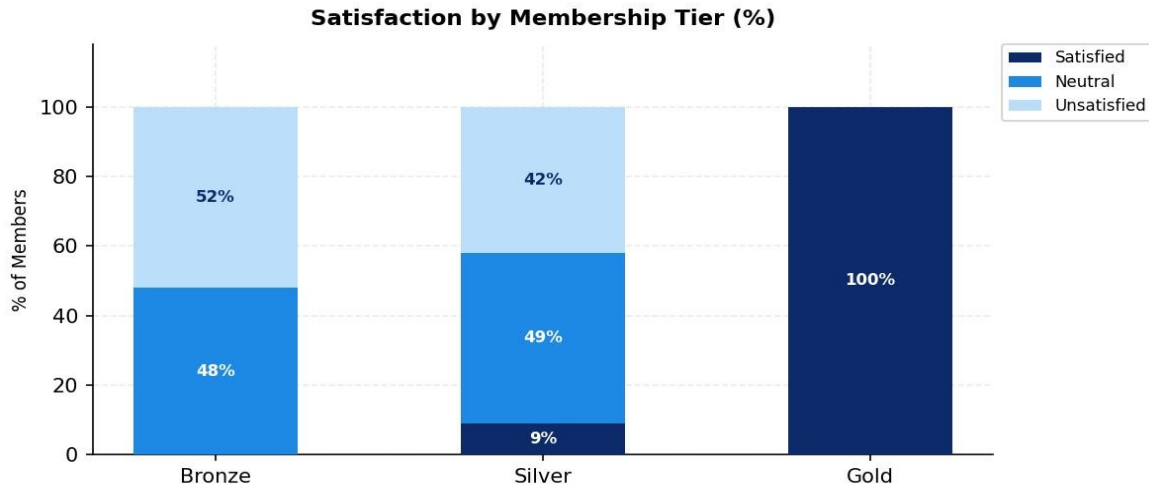
Key Problems Identified

The business is currently facing a few major issues that are affecting revenue, customer satisfaction, and growth:

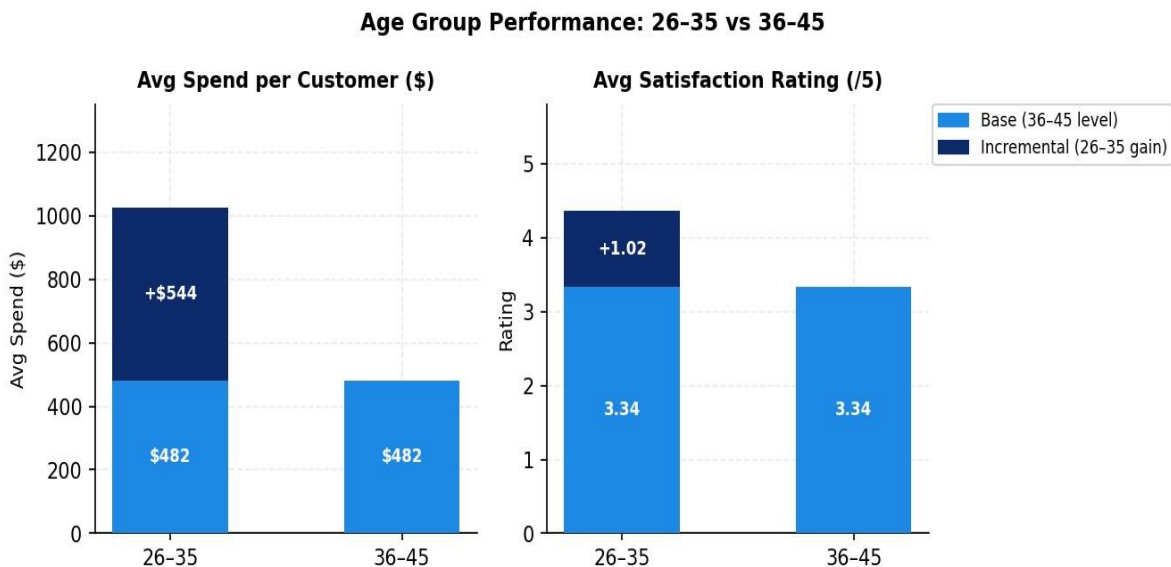
- **High Risk of Losing Customers (Churn):** Customers in Chicago and Miami are very likely to stop using your service (100% at risk). If nothing is done, this could lead to a significant revenue loss.



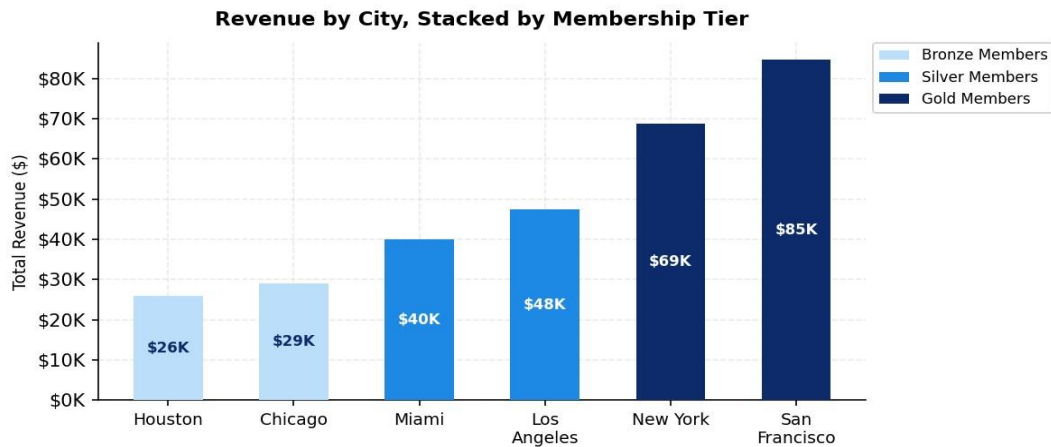
- **Bronze Membership Is Not Delivering Value:** Customers on the Bronze plan are not satisfied at all. Even though they make up a large group, they spend much less and are more likely to leave. This shows that the lowest tier offering is not meeting expectations.



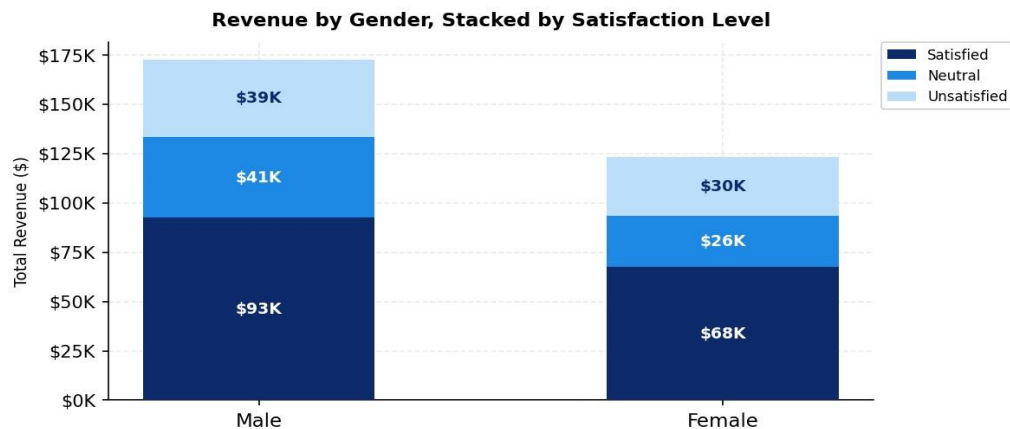
- **Older Customers Feel Underserved:** Customers aged 36–45 are less satisfied and spend less compared to younger customers. Many of them are placed in the Bronze tier, which does not suit their needs, increasing their chances of leaving.



- **Revenue Is Dangerously Concentrated in Three Cities:** Most of your revenue comes from just three cities (San Francisco, New York, Los Angeles). This is risky because if performance drops in any of these cities, your overall revenue will be heavily affected.



- **Significant Gender Revenue and Satisfaction Gap:** Male customers spend significantly more and are more satisfied than female customers. This suggests that your offers may not be fully appealing or relevant to female customers.



Opportunities

Each problem identified above corresponds directly to a revenue opportunity. The five opportunities below represent a combined potential uplift of \$118,000–\$163,000 in additional annual revenue, achievable without acquiring a single new customer.

- **Membership Upgrade — Bronze to Silver/Gold:** Encouraging Bronze users to move to higher plans (Silver or Gold) can significantly increase revenue since higher-tier customers spend much more. Target all Bronze members, prioritising Chicago and Houston where customers are currently Neutral and most receptive to re-engagement offers. Even a 30% conversion rate on a Bronze-to-Silver campaign adds approximately \$29,000 in annual revenue with no new customer acquisition cost.
- **Retain At-Risk Customers:** By targeting customers in Chicago and Miami with special offers or engagement strategies, you can prevent major revenue loss.
- **Older Customer (36–45) Re-Engagement Programme:** Revenue potential: Moving 116 older customers concentrated in Chicago and Houston from Bronze to Silver spend patterns generates \$31,088 in additional revenue. Full uplift to Gold patterns adds \$96,474. Older customers are not inherently low-value. They are currently in the wrong tier with the wrong value proposition. Age-appropriate membership benefits and curated product recommendations can shift this pattern.
- **San Francisco Premium No-Discount Model Replication:** San Francisco shows that you can make more money per customer without giving discounts, as long as customers are happy and see value. In fact, customers who don't get discounts actually spend more, so giving too many discounts can reduce profits without helping sales. Instead of discounts, the business can reward customers with loyalty points so they still feel valued while the company keeps more profit.
- **Female Customer Revenue Parity Strategy:** If we make shopping experience better for women so they spend as much as men do, we could add \$49,544 in extra sales every year. In places like New York and San Francisco, women already show similar satisfaction and spending levels as men, so the difference is not due to gender but how products and membership benefits are positioned. This gap could likely be closed by improving targeting, membership benefits, and personalized offers, which means giving customers deals and recommendations based on their interests and buying behaviour instead of the same offers for everyone.

Actionable Recommendation & Implementation Plan

Priority	Action	Target Segment	What To Do (Clear & Direct)	Expected Outcome
High (Do First)	Upgrade Bronze Customers	Active Bronze users	Identify active Bronze users and send upgrade offers (discounted upgrade or bonus perks) via email/SMS/app	Immediate revenue growth (up to \$97K+) and higher customer value
High (Do First)	Retain At-Risk Customers	Customers in Chicago & Miami	Identify inactive users and send personalized offers or reminders to bring them back	Prevents ~\$69K revenue loss and reduces churn quickly
High (Do First)	Reduce Overdiscounting	Frequent discount users	Cut excessive discounts and replace with loyalty rewards or exclusive benefits	Higher profit margins and increased average spend
Medium (Next Step)	Improve Bronze Membership Value	All Bronze members	Add meaningful benefits and clearly communicate value to customers	Better satisfaction, more upgrades, improved retention
Medium (Next Step)	Align Customer Segments Properly	All customers	Group customers by behavior/spending and assign them to the right tier with tailored communication	Reduced churn (<15%) and overall revenue growth (40–55%)
Medium (Next Step)	Re-Engage Older Customers	Customers aged 36–45	Create targeted offers and messaging focused on value and convenience	Increased spending and \$31K–\$96K+ revenue uplift
Low (Optimize Later)	Increase Female Customer Spend	Female customers	Use personalized recommendations and targeted campaigns based on preferences	Closes \$49.5K gap and improves total revenue

Note: Increasing female customer spend is a growth opportunity, not an urgent issue, because it does not immediately impact current revenue like churn or discounting does. Higher-priority actions focus on quick revenue gains and loss prevention, while this requires more time, testing, and a stronger foundation to be effective.

Conclusion

The data confirms that the business has a strong high-value customer base. Gold members spend nearly three times more than Bronze members. San Francisco delivers the highest per-customer revenue in the portfolio without a single discount. The challenge is not demand, it is alignment.

The business should not prioritize acquiring new customers yet because there are still major opportunities to generate more value from existing customers. Current issues like low satisfaction, high churn, and underperforming segments mean new customers may not stay or spend as much.

The priority should be to fix these internal gaps first, improve customer experience, and increase revenue from the current customer base.

Once this is done, the business will be in a much stronger position to attract, retain, and profit more from new customers.